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a price, come under the purview of Economics.

d. However, welfare means happiness or comfortable living conditions of an individual or group of people. The welfare of an individual or nation is dependent not only on the stock of wealth possessed but also on political, social and cultural activities of the nation.

1.3.3 Scarcity Definition: Lionel Robbins


Lionel Robbins

Lionel Robbins published a book "*An Essay on the Nature and Significance of Economic Science*" in 1932. According to him, *"Economics is a science which studies human behaviour as a relationship between ends and scarce means which have alternative uses"*.

The major features of Robbins' definition are:

a. Ends refer to human wants. Human beings have unlimited number of wants.

b. On the other hand, resources or means that go to satisfy the unlimited human wants are limited or scarce in supply. The scarcity of a commodity is to be considered only in relation to its demand.

c. Further, the scarce means are capable of having alternative uses. Hence, an individual grades his wants and satisfies first his most urgent want. Thus, Economics, according to Robbins, is a science of choice.

Criticism

a. Robbins does not make any distinction between goods conducive to human welfare and goods that are not. In the production of rice and alcoholic drink, scarce resources are used. But the production of rice promotes human welfare, while that of alcoholic drinks does not. However, Robbins concludes that *Economics is neutral between ends.*

b. Economics deals not only with the micro-economic aspects of resource-allocation and the determination of the price of a commodity, but also with the macro-economic aspects like how national income is generated. But, Robbins reduces Economics merely to theory of resource allocation.

c. Robbins' definition does not cover the theory of economic growth and development.

1.3.4 Growth Definition: Samuelson


Samuelson

Paul Samuelson defines Economics *as "the study of how men and society choose, with or without the use of money, to employ scarce productive resources which could have alternative uses, to produce various commodities over time, and distribute them for consumption, now*